

any good situation. But I have a guideline for those stocks, too: I want the company to have a near monopoly in some market niche, or a special quality that makes me believe it is going to be successful for a long time. The company has a franchise, and that franchise is a kind of theme in itself. Then I know, until the company's special position is challenged, that I have a long-term holding. On time horizons I will not compromise.

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Do I ever buy a stock even if no theme is evident? Sure. But only if the company has a monopoly or near monopoly on some market niche.

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The cellular phone business in a given area is a prime example, as well as reflecting the communications theme. So is the regional bank that dominates its geographical area. I've made a great deal of money over the years in Mine Safety Appliances, the country's biggest industrial safety equipment maker, which also fits into the Eastern European theme. A counterexample was the Canadian company FPI Limited, which had exclusive cod-fishing rights on the Grand Banks, once one of the best fishing holes in the world. But over-fishing depleted the codfish population and nixed my fish niche.

Perhaps the niche monopolized most successfully can be claimed by motorcycle maker Harley-Davidson. The whole world has been moving toward a Harley ride. It's the only motorcycle manufacturer in the United States, and the ones outside the United States aren't that exciting. In fact, it just might be the world's best brand name. Coca-Cola is a great brand name, but people don't tattoo it on their body parts.

But my preference is to know that a larger theme is operating—one that gives a stock an edge. And the theme that has been most productive for me deserves its own chapter.